ONLY CHANGE IS PREDICTABLE

Things do change, even in the so-called owner/manager business environment. Take, for example, the industry we mentioned previously—dry cleaning. (In fact, the appropriate title is laundries, dry cleaning, and garment services.) With regard to this industry, Tom Stanley reported in 1988:

> *In 1984 there were 6,940 partnerships; 91.9 percent have net income, while the average return on receipts (net profit as a percent of receipts) was 23.4 percent (Thomas J. Stanley, Marketing to the Affluent [Homewood, I11.: Irwin, 1988, p. 190]).*

What about the profitability of this industry in the 1990s? We analyzed the IRS's federal income tax return data. In 1992, we determined that there were 4,615 partnerships; only 50.5 percent had any net income, while the average return on receipts was 13 percent. Also in 1992, there were 24,186 sole-proprietorship dry cleaners in America. What was their average net income? On average, it was $5,360. This placed dry cleaners 116th out of 171 sole proprietorships based on average net income criteria. The industry at that time ranked 119th in return on receipts, which equaled 8.1 percent. What percentage of dry cleaners generated a net income? Nearly three in four, or 74.1 percent, made at least one dollar of net income. In this regard, dry cleaning ranked 92 out of 171 industries analyzed.

What a difference eight short years can make. But the dry cleaning industry is not the only one to encounter such changes. The data in Table 8-1 contrast selected industries. You will notice that several have experienced significant changes in profitability over the years. The number of men's and boys' clothing and furnishings stores, for example, more than doubled from 1984 to 1992. In 1984, all of the sole proprietorships in that industry made a profit. But in 1992, only 82.7 percent were profitable. Its rank in this regard dropped from first to fifty-seventh among the 171 sole proprietorships studied. The highway and